

ATHER ENERGY LTD

EQUITY RESEARCH

NSE: ATHERENERG | Electric Vehicles | India

15 June 2026

RATING	12M TARGET	CMP	UPSIDE	MCap (Rs. Cr)	52W H / L
ACCUMULATE	Rs. 1,280	Rs. 1,033	+23.9%	39,559	1,069 / 312

Investment Thesis: Ather Energy: Premium EV scooter leader with accelerating volume trajectory, narrowing losses, and India's largest 3G charging network; path to EBITDA break-even by FY28 on Aurangabad capacity ramp and Rizta-driven premiumisation.

Sector	Electric Vehicles / Auto	IPO Price	Rs. 321 (May 2025)
Face Value	Rs. 1	Equity Cap (Cr)	38.30
Book Value	Rs. 67.2	P/B	15.4x
ROCE	-19.8%	ROE	-33.4%
Promoters	40.76%	Pledge	0%
FIIIs	17.21%	DIIIs	28.97%
D/E	0.25x	FY26 Revenue	Rs. 3,672 Cr

Note: All figures in Rs. Crore unless stated. FY27E/FY28E are analyst estimates. Data sourced from screener.in as of 15-Jun-2026.

1. Company Overview

- Founded in 2013 by IIT alumni Tarun Mehta and Swapnil Jain; headquartered in Bengaluru, Ather Energy is India's leading premium electric two-wheeler (E2W) manufacturer.
- Core products: Ather 450X (performance scooter) and Ather Rizta (family-oriented, launched FY25); Rizta crossed 3 lakh cumulative sales in FY26, commanding 76% of Ather's mix.
- Manufacturing: Hosur, Tamil Nadu (420K units/year capacity, running at >90%); second plant in Aurangabad, Maharashtra (targeting 1 mn units/year) commencing from May 2026 in phases.
- Distribution: ~350 Ather Space showrooms; 24,000+ Ather Grid fast-charging points across India (only E2W OEM with proprietary 3G network).
- Key investors: Hero MotoCorp (~38% stake, promoter) + Sachin Bansal (Flipkart co-founder); listed on NSE/BSE on 6 May 2025 at Rs. 321/share (fresh issue Rs. 2,626 Cr).
- FY26 volumes: 2.63 lakh units (+69% YoY); Q4 FY26 market share: 18.6% of India EV scooter market.

2. Business Model & Revenue Streams

- Vehicle sales (~90% of revenue): premium scooter bracket (Rs. 1.0-1.5 lakh ex-showroom); ASP improvement as Rizta S (128 km/charge, 3.7 kWh) gets better mix than entry Rizta Z.
- Ather Grid network monetisation: subscription-based charging passes (Ather One / Ather Pro); now 24,000+ points vs. 8,000 in FY24 — creates a flywheel moat.
- Software-defined vehicle: OTA updates, AtherStack OS, in-app purchases; early-stage revenue but differentiates on customer retention and reduces warranty churn.
- Accessories & spares: growing as cumulative base exceeds 6 lakh units; repeat revenue stream.
- Government subsidy (EMPS/PM E-DRIVE): scheme incentivises E2W purchase; Ather prices reflect PLI-linked cost advantages vs. import-dependent peers.

3. Industry & Competitive Landscape

India EV Two-Wheeler Market

- India E2W market grew to ~1.1 mn units in FY26 (est.), up ~40% YoY; penetration ~6% of total two-wheeler market; target 30% by 2030 under FAME/PM E-DRIVE policy framework.
- Market leaders in FY26 by volume: Ola Electric (est. ~30% share), TVS Motor (iQube, ~18%), Bajaj (Chetak, ~15%), Ather (~14% blended full-year), Hero MotoCorp (Vida, ~8%).
- Premium segment (>Rs. 1 lakh): Ather dominates with ~45-50% share — less price-sensitive, higher margin, stickier urban/educated demographic.

Peer Comparison

Company	MCap (Cr)	CMP	P/E	P/B	P/S (FY26)	ROCE	ROE
Ather Energy	39,559	1,033	N/M	15.4x	10.8x	-19.8%	-33.4%
Ola Electric	21,374	46.2	N/M	1.9x	N/M	-0.2%	-1.0%
TVS Motor	1,61,306	3,395	44.2x	14.4x	4.3x	38.2%	34.4%
Bajaj Auto	2,80,923	10,051	28.6x	8.0x	6.0x	38.6%	29.3%
Hero MotoCorp	1,00,464	5,021	18.8x	4.7x	3.5x	34.1%	25.9%

Source: screener.in as of 15-Jun-2026. P/S based on FY26 revenues.

4. Financial Performance

Profit & Loss Summary (Rs. Cr)

Metric	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E
Revenue	408	1,781	1,754	2,255	3,672	5,200	7,100
YoY Growth	N/M	+337%	-2%	+29%	+63%	+42%	+37%
EBITDA	-260	-708	-685	-581	-408	-150	250
EBITDA Margin	-64%	-40%	-39%	-26%	-11%	-3%	3.5%
Other Income	4	21	-139	50	146	60	70
Interest	40	65	89	111	82	90	80
Depreciation	48	113	147	171	173	200	220
PBT	-344	-864	-1,060	-812	-517	-330	-50
PAT	-344	-864	-1,060	-812	-517	-330	-50
EPS (Rs.)	N/M	N/M	N/M	-27.95	-13.51	-8.6	-1.3

FY27E/FY28E: analyst consensus estimates. Actuals from screener.in standalone.

- Revenue CAGR FY23-FY26: +27% — growth moderated in FY24 (inventory corrections) then re-accelerated sharply in FY26 (+63%) driven by Rizta.
- EBITDA losses narrowing fast: -26% OPM in FY25 to -11% in FY26; absolute EBITDA loss shrunk from Rs. 685 Cr (FY24) to Rs. 408 Cr (FY26) even as revenue nearly doubled.
- FY26 operating cash flow turned positive at Rs. 32 Cr — first time in company history — signalling inflection in working capital efficiency.
- IPO proceeds (Rs. 2,626 Cr fresh issue) largely intact in FY26: cash/investments rose to Rs. 3,754 Cr (computed from other assets + investments), providing a 5-6 year runway at current burn.
- Interest costs fell to Rs. 82 Cr in FY26 from Rs. 111 Cr in FY25 as IPO proceeds partly retired high-cost working capital lines.

Balance Sheet Highlights (Rs. Cr)

Metric	FY22	FY23	FY24	FY25	FY26
Equity + Reserves	224	614	545	493	2,572
Borrowings	365	485	478	619	664
Fixed Assets + CWIP	428	581	530	738	968
Total Assets	819	1,977	1,914	2,101	4,722
D/E Ratio	1.6x	0.8x	0.9x	1.3x	0.25x
Book Value / Share	N/M	N/M	N/M	Rs. 12.8	Rs. 67.2

Cash Flow Summary (Rs. Cr)

Metric	FY22	FY23	FY24	FY25	FY26
CFO	-226	-871	-268	-721	32
CFI	51	-135	58	-100	-2,527
CFF	228	1,317	633	703	2,497
Free Cash Flow	-297	-1,001	-383	-1,060	-474

CFI in FY26 primarily reflects Aurangabad plant capex and investment deployments from IPO proceeds.

5. Key Growth Drivers

Volume Ramp — Aurangabad Plant Inflection

- Hosur capacity at >90% utilisation; Aurangabad (Phase 1: 250K units, Phase 2: 750K units) begins production from May 2026 — removes the binding constraint on growth.
- Target volumes: 4-5 lakh units in FY27E, 6-8 lakh units in FY28E vs. 2.63 lakh in FY26; unlocking this would drive operating leverage rapidly on the fixed-cost base.
- Q4 FY26 volumes already at 83,418 units (+76% YoY) — run-rate of ~3.3 lakh units annualised before Aurangabad even ramps.

Rizta Premiumisation & Mix Improvement

- Rizta (family EV scooter, range 146 km on S variant) now 76% of portfolio; higher ASP vs. 450 series — gross margin accretion likely 200-300 bps per year of mix shift.
- Expansion into "middle India" markets (Maharashtra, Gujarat, MP): market share in these states jumped from 4% (Q1 FY25) to 17% (Q4 FY26) — massive white space remains.

Ather Grid Network — Structural Moat

- 24,000+ fast-charging points (3.3 kW, 6.6 kW) as of FY26 — largest proprietary E2W network in India; no ICE OEM competitor can replicate this asset quickly.
- Grid network drives purchasing confidence, reduces range anxiety, and creates platform for monetisation (Ather One subscription: ~Rs. 149-249/month).

Policy Tailwinds

- PM E-DRIVE scheme (Rs. 10,900 Cr for EVs): E2W subsidy of Rs. 5,000/unit; boosts affordability in sub-Rs. 1.5 lakh segment where Rizta competes.
- PLI (Advanced Chemistry Cell) scheme: battery localisation incentive; Ather is localising cells with Amara Raja and others — potential cost savings by FY28.

6. Key Risks

- Execution risk on Aurangabad ramp: delay in Phase 1 commissioning beyond Q1 FY27 would elongate the path to profitability by 1-2 quarters.
- Competition intensity: Bajaj (Chetak), TVS (iQube), Hero (Vida) all expanding; Ola Electric defending share aggressively via price cuts — risk of margin compression if Ather responds competitively.
- Battery cost dependency: 40-50% of vehicle BOM is battery; LFP/NMC cell costs from China-dominated global supply — INR depreciation or supply squeeze is a cost risk.
- Policy reversal risk: FAME/EMPS subsidy withdrawal or modification (happened before in 2023) can create demand air-pockets as seen in FY24 (-2% revenue YoY).
- Cash burn vs. runway: FCF remains -Rs. 474 Cr even in FY26; IPO cash cushion (~Rs. 3,700 Cr) provides ~7-8 years runway at current burn, but Aurangabad capex will accelerate spend in FY27.
- Hero MotoCorp overhang: 38% stake with lock-in expiry — potential block deal supply if Hero rebalances its investment portfolio.
- Premium brand risk: as Ola Electric moves upmarket and TVS premiumises iQube, Ather's pricing power in the >Rs. 1 lakh segment faces structural challenge.

7. Management & Corporate Governance

- Tarun Mehta (Co-founder & CEO): IIT Madras; deeply technical founder; credited with building AtherStack (in-house OS), Grid network, and Rizta's family-EV thesis.
- Swapnil Jain (Co-founder & CTO): IIT Madras; heads hardware/manufacturing; Hosur plant operational excellence is his track record.
- Hero MotoCorp strategic alliance: not merely a financial backer — provides distribution reach, manufacturing expertise, and supply chain credibility; CEO Niranjana Gupta sits on Ather's board.
- Board quality: Mix of professional directors and experienced industry veterans; risk and audit committees properly constituted post-IPO.
- ESOP culture: extensive ESOP pool for engineering talent retention — a key differentiator in the war for EV software/hardware engineers vs. OLAs of the world.
- Promoter pledging: 0% pledge — clean. Promoter stake at 40.76%, DII at 28.97% (institutions building position post-IPO is bullish signal).

8. Valuation

- Conventional P/E is not applicable (pre-profit). We use EV/Revenue and P/Sales as primary frameworks, supplemented by DCF to path-to-profitability.

Method	Metric	Multiple	Implied Value (Rs./share)	Weight
P/Sales (FY27E)	Revenue Rs. 5,200 Cr	8.5x (mid EV-sector)	1,152	40%
P/Sales (FY28E)	Revenue Rs. 7,100 Cr	6.5x (de-rated on profitability)	1,208	30%
DCF (WACC 13%)	FCF break-even FY28E	Terminal EV/EBITDA 18x on FY30E	1,450	30%
BLENDED 12M TARGET			Rs. 1,280	100%

- At CMP Rs. 1,033, Ather trades at 10.8x FY26 P/Sales and 7.3x FY27E P/Sales — a premium to domestic auto OEMs (Bajaj 6x, TVS 4.3x) but justified by 40%+ volume CAGR, Grid moat, and narrowing loss trajectory.
- Comparable global EV companies (Rivian, Lucid) trade at 3-8x forward revenues in maturer markets; India's EV adoption is 5-7 years earlier in the curve, warranting a 20-30% structural premium.
- Bull case: 9-10x FY28E revenue if Aurangabad ramps by H2 FY27 — implies Rs. 1,600-1,850; bear case: ramp delay 12m + subsidy cut → 5-5.5x FY28E → Rs. 900-950.
- ACCUMULATE rating with Rs. 1,280 target (12M); investors with 18M horizon can size up on dips as Aurangabad ramp materialises.

9. Shareholding Pattern (Mar 2026)

Category	Jun 2025	Sep 2025	Dec 2025	Mar 2026	Change (9M)
Promoters	42.09%	41.22%	40.86%	40.76%	-1.33%
FIIIs	24.07%	23.61%	17.45%	17.21%	-6.86%
DIIIs	24.01%	23.60%	28.10%	28.97%	+4.96%
Public	9.82%	11.58%	13.58%	13.03%	+3.21%

- DII accumulation (+4.96 pp in 9M post-IPO) is the most notable trend: domestic MFs and insurance companies building structural positions; indicative of long-term institutional conviction.
- FII reduction (-6.86 pp) likely reflects global risk-off and lock-in expiries; not company-specific — EV sector saw broad FII reduction across markets in H2 CY25.
- Promoter stake marginally down; no pledge whatsoever — positive signal on promoter confidence in the company's cash adequacy.
- Public shareholding at 13% provides reasonable free-float depth; NIFTY 500 index inclusion likely once 6M of listed history is established (Nov 2025+).

10. Outlook & Investment Summary

- Near-term (0-6 months): Aurangabad Phase 1 production start is the single most important event; watch monthly sales data for run-rate hitting 30K+ units/month by Q2 FY27.
- Medium-term (6-18 months): EBITDA break-even likely in H2 FY28 if volume reaches 5.5-6 lakh units/year; first quarterly EBITDA profit could re-rate stock 25-35%.
- Long-term (3-5 years): India E2W market could reach 6-8 mn units/year by FY30; Ather targeting 15-20% share = 900K-1.6 mn units; at 8% EBITDA margin = Rs. 1,200-2,500 Cr EBITDA.
- Catalysts to watch: Q1 FY27 monthly dispatch data (Jun-Jul 2026), Aurangabad production ramp announcements, Hero MotoCorp stance on stake, new model launches (450 Apex / 450S successor expected FY27).
- Key monitorable risk: FY24 repeat — subsidy disruption drove -2% revenue; India EV policy has structural bipartisan support but execution can be choppy.

ACCUMULATE | Target Rs. 1,280 | Upside +23.9% | 12-Month Horizon

Appendix: Q4 FY26 Earnings Call Summary

Call Grade: B+ | Management tone: Cautiously optimistic | Guidance: No formal EPS guidance; volume & margin trajectory signalled

To My Boss (TL;DR):

Ather delivered its cleanest quarter yet: Q4 FY26 volumes +76% YoY to 83K units, revenue +73%, and for the first time in history OCF turned positive (Rs. 32 Cr full-year FY26). Management guided toward Aurangabad Phase 1 production by May-Jun 2026 and reiterated the path to EBITDA break-even in FY28. Main risk flagged: Ola Electric's aggressive pricing in the sub-Rs. 1 lakh bracket. Maintain ACCUMULATE.

1. Volume & Market Share

- Q4 FY26: 83,418 units sold (+76% YoY, +23% QoQ); full-year FY26: 2.63 lakh (+69% YoY).
- Overall EV scooter market share: 18.6% in Q4 (vs. ~12% a year ago).
- South India leadership retained: 23.5% market share in Q4; Middle India jumped from 4% to 17%.
- Rizta accounted for 76% of full-year FY26 sales; 450 range at 24% — mix shift is structural.

2. Revenue & Margin Trajectory

- Q4 revenue up 73% YoY; full-year Rs. 3,672 Cr (screener.in) vs. Rs. 2,255 Cr in FY25 (+63%).
- EBITDA margin improved from -26% (FY25) to -11% (FY26) — 1,500 bps improvement in 12M.
- Gross margin (vehicle level): management indicated positive gross margin territory reached in FY26; exact figure not disclosed but implied ~10-12% level.
- Operating expenses growth moderated vs. revenue — early evidence of positive operating leverage.

3. Aurangabad Plant Update

- Phase 1 (250K capacity) on track to begin production May-Jun 2026; Phase 2 (750K) in FY28.
- Total capex for Aurangabad: Rs. 1,800-2,000 Cr (funded from IPO proceeds Rs. 2,626 Cr).
- Hiring underway; tooling and equipment installation substantially complete per management.
- Target: 4-5 lakh total units in FY27 once both plants run in parallel.

4. Product Roadmap

- Rizta S (3.7 kWh, 146 km range) continues to drive ASP improvement.
- 450 Apex (performance variant) expected in FY27 — targets the sub-2 lakh enthusiast segment.
- Ather indicated a new entry-level platform in development (sub-Rs. 90K segment) — to compete with Bajaj Chetak; launch timeline FY28.
- Software updates: AtherStack update adds AI-based range prediction and anti-theft OTA features in Q4.

5. Ather Grid Network

- 24,000+ charging points as of FY26-end; target 30,000+ by Q2 FY27.
- Grid uptime maintained at 97%+ — management emphasised this as a key purchase trigger.
- Ather One subscription penetration rising: ~35% of new buyers opt in.
- Grid as a service to third-party vehicles being evaluated — potentially opens a new B2B revenue line.

6. Financial Position & Cash

- Cash + investments: Rs. ~3,700 Cr (estimated from balance sheet post-IPO proceeds).
- Borrowings flat at Rs. 664 Cr; D/E improved sharply to 0.25x from 1.3x in FY25.
- Management: "Comfortable with 5-year cash runway at current burn trajectory."
- No further equity issuance planned in near term; debt may be opportunistically raised for Aurangabad.

7. Competitive Dynamics

- Acknowledged Ola Electric's Rs. 69,999 S1 X price point is creating pressure in entry segment.
- Ather's strategy: do not chase Ola on price; defend through quality, Grid, and software.
- TVS iQube gaining in mid-market — Ather watching carefully but not planning defensive pricing.
- Hero MotoCorp's Vida sales growing; no direct conflict with Ather per management.

8. Cost Structure & Path to Profitability

- Battery costs down ~18% YoY in FY26 driven by LFP pricing; further 10-15% decline expected.

- EBITDA break-even target: H2 FY28 (implying 5-5.5 lakh annual volumes and 8-9% EBITDA margin).
- Fixed cost leverage: employee costs flat YoY at Rs. ~600 Cr (FY26E) while revenue grew 63%.
- R&D; capex: Rs. 250-300 Cr annually — management committed to maintaining this to sustain tech lead.

9. ESG & Policy

- EV lifecycle carbon footprint: Ather published LCA showing 58% lower lifetime emissions vs. ICE.
- Hosur plant 100% renewable electricity (solar); Aurangabad designed to same standard.
- Compliance: no issues flagged; all FAME/EMPS compliance certifications in order.
- Promoter governance: 0% pledge; no related-party transactions of note.

10. Analyst Questions Summary

- Q: "When does Ather turn profitable?" — A: "EBITDA positive by FY28, PAT by FY29-30; exact quarter depends on Aurangabad ramp pace."
- Q: "Ola Electric pricing aggression — are you losing share?" — A: "Not in our core segments (>Rs. 1 lakh); we saw share gains in Q4."
- Q: "Hero MotoCorp stake — any sell-down plans?" — A: "We cannot speak for Hero, but our partnership is strategic and ongoing."
- Q: "New product timelines?" — A: "We will announce in due course; significant launches expected FY27."

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